

Unit1: What is Strategy

What is a corporate strategy

A corporate strategy is the long-term goal of an organisation which is flexible to allow revision of plans and make adjustments in changing market environments. Market environment include: change in demand for products/services, loss in market share, acquisition of new companies, introduction of new product/service etc. Alfred Chandler, Michael Porter and Henry Mintzberg are the leading corporate strategist and they define corporate strategy as follows:

1. Alfred Chandler: "The determination of long-term goals and objectives of an enterprise, and the adoption of courses of action and the allocation of *resources(available means to the organisation)* necessary for carrying out these goals". Based on the market situation both the strategy and structure on the firm must be adequately adjusted and resources reallocated.
2. Michael Porter: With the focus on *competition*, "strategy is the creation of a unique and valuable position, involving a different set of activities". This means that strategy is not about long-term view rather, it should focus on developing and maintaining competitive advantage linked to a clear and distinctive feature.
3. Henry Mintzbertg: Strategy is "a pattern in a stream of decisions". With focus on *vision*, the pattern of decisions made to achieve the vision constitute the corportate strategy. Depending on the odds, the vision may be adjusted, thus requiring a change in strategy. It is highly recommended to develop a flexible strategy, to allow for adjustments during high and downtimes. Rigid strategies are in most cases disadvantageous to the organisation, as they psychologically hook the organisation to stale objectives. To develop a *flexible and sustainable strategy*, *companies must gather and thoroughly analyse detailed information*. Adequate time should be reserved for this activity. There are developed techniques that managers can use to analyse company issues and changes in market in order to make better decisions.

What Has To Be Taken Into Consideration When Making Strategic Decisions?

In Practice, managers take the following in to consideration

- long-term orientation of the organisation
- purpose of the organisation
- attainment of a competitive advantage
- expandability of resources and the efficiency of the organisation
- *corporate philosophy*: These are the main principles by which an organisation operates.
- expectations of stakeholders

Considering the usecase, it can be determined that the management did not consider these points because:

- long-term orientation of the organisation: Company A did not assess their need before acquiring company B
- purpose of the organisation: B was serving a different market, despite the fact that their products were similar

- competitive advantage: A was already a leader in manufacturing medical equipment due to *its core technology*.
- expandability of resources and the efficiency of the organisation: A should have considered technological advancements to improve its internal processes e.g developing a data management system
- Corporate philosophy: A should have focused on providing qualitative products
- expectation of stakeholders: A should have evaluated their situation to determine whether acquiring B will generate an added.

Who Takes Part in Developing a Strategy?

Depending on the size of an organisation, there are various strategic levels which play different roles when creating a strategic plan.

--insert image here: strategic levels--

- Corporate Level (Upper Management): This level defines the *vision, mission and purpose* of the organisation. It also evaluated/analyse the performance and growth potential of the *Strategic Business Units (SBUs)* to make adequate decisions regarding the budget for the SBUs. Usually, SBUs with a better cut obtain a higher budget.
- Strategic Business Units (SBUs): This is a business unit that could act independently from other company's business units in the market place. Each business unit is allowed to perform a SWOT analysis of their business unit and share the results of their analysis with the upper management as this can contribute to the overall strategic plan.
- Product Level: Situation analysis, marketing strategy and business plans for respective products are developed at this level. The actions that must be taken to implement the business plans are also specified at this level.

What is Included in a Solid Strategic Plan?

To develop a solid strategic plan, an organisation needs to answer questions like:

What is their position in the market?

Companies need to analyse the following points to be able to understand their position in the market.

- Perform SWOT analysis
- the influence of the corporate strategy on the environment and the corporate culture
- whether the existing resources are sufficient to support the strategic goals of the organisation
- whether the strategic plan aligns with the purpose of the organisation

2. What are their Strategic Capabilities?

This helps the company to understand the availability of their strategic resources. To determine this, the following points need to be analysed

- Check whether the portfolio of the business units aligns with the strategic objectives of the company
- Check whether the business units are adequately positioned in the market place to support the overall strategy of the company
- evaluate the internal markets in which the organisation aims to operate

- determine the strategic alliances that should be formed if possible
- check whether the organisation is active in the right areas of innovation

3. how can the overall company strategy be implemented?

In planning the implementation of the strategic plan, it is important to analyse the following points.

- What process is necessary to develop a strategy
- what strategy is a good fit for the organisation and what is feasible
- what corporate structure and systems in the organisation are necessary to implement the strategic plan
- how best to manage the implementation process
- how to evaluate the strategy and
- who is responsible for the implementation process.

4. etc.

Unit2: The Strategic Environment

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According to the case study, making a strategic decision requires consideration of the environment where the strategy will be implemented. To assess the environment key questions need to be asked and answered.

Examples as on the case study.

Where Are We in the Market Place?

The Macroenvironment

The interaction between an organisation and its environment is bidirectional. This means that they both impact each other. From an organisational perspective, its business environment can be classified into Macro -and Micro. Microenvironmental factors include *competitors, suppliers, customers and substitute products* while the Macroenvironmental factors include *Political, Economic, Social, Technological, Environmental(Ecological) and Legal i.e PESTEL*. The Company is always at the center while the microenvironment is always closer to the company.

--insert image here --

The PESTEL Analysis is a *strategic and quantitative* method used by companies of different sizes and category to analyse the macroenvironmental factors to enable them make strategic decision. This analysis also considers changing environmental conditions that may negatively or positively impact the organisation in the future.

PESTEL Analysis of an Airline

The Macroenvironments will be evaluated to measure their impact on the business strategy.

- Political Factors

A political decision that mandates the military of a country to close its airspace will force an airline to alter their optimal flight path. This will force an airline to reroute and reschedule their flights to adapt to the

political condition. Rescheduling will impact logistics which will create cost, thus negatively affecting the strategy of an airline. Additionally, flights will take longer hours which could not only stress customers but the airline might have to increase its staff to avoid overwhelming its staff. An increase in staff means the airline will have to spend more on salaries and insurance. This further negatively affects the strategy of the airline.

- Economic Factors

Closing an air space of a country because of war will intimidate customers such that they might cancel their travel plans to certain destination. Result is that, an airline will have to stop flying to certain destinations. This will reduce their revenue.

- Social Factors

Under normal circumstances, an airline may offer tickets at discounted prices or provide means to collect bonuses. Such benefits to customers create positive experiences which can establish loyalty to the airline. As a result of airspace close, the bonus system might be adjusted to limit the number of points a customer can collect or ticket prices might increase. This can negatively impact the relationship between an airline and its customers.

- Technological Factors

Digital checkin possibility to reduce manual work at the counter in the airport which significantly increases work efficiency and reduce workload on employees.

- Environmental or Ecological Factors

An airline is allowed to dump fuel only in specified areas. This must be respected to reduce environmental pollution. Additionally, airlines need to invest in development and purchase of planes that have optimised systems with a lower rate of air pollution.

- Legal Factors

Airlines must comply to laws and regulations otherwise they risk paying huge amounts of money on penalties and some situations they might have their license withdrawn. For instance, airlines are not allowed to overbook flights. Also, pilots must take all necessary trainings that legitimises them to fly to ensure the safety of passengers. Trainings usually cost time and money which increase cost to airlines.

The PESTEL Method can equally be used by teams and departments within an organisation to make help make decisions that will answer open questions.

The Microenvironment: Where Are We in the Market Place?

Microenvironmental factors have a direct impact on the organisation. Some of these factors as already previously listed are: suppliers, customers, substitute products, competitors etc. To take a closer look or analyse these microenvironmental factors, Michael Porter developed a *Five Forces Model* built on some assumptions. These five forces are:

1. Buyers/Customers: Analysis of their buying power
2. Competitors: Analysis of the degree of rivalry among existing competitors
3. New market entrants: Analysis of threats from new competitors

4. Substitutes: Analysis of threats from substitute products
5. Suppliers: Analysis of their negotiating power

Porter developed this five forces based on the following assumptions:

- The attractiveness of a market is defined by its structure
- This impacts the way an organisation develops its strategy for this market and
- Also reminds an organisation to take measures in their strategy to counteract competitors acting in the same market.

Elaboration of the components in the five forces model

1. Buyers/Customers

Here it is important to highlight that a buyer is not always the consumer. A buyer can make the purchase while he/she is not the consumer e.g A child can subscribe and pay for news letters for his/her parents while the child does not read news letters. Typically, a powerful buyer is one who purchases in large amount. Powerful users have the capability to influence the price of a product. A buyer has purchasing power over an organisation when

- they buy large quantities
- product/service margin is relatively small
- the product can easily be substituted
- product/service is not of high value to the customer
- customer can make the product/service themselves

2. Competition

The intensity of competition in the market is reflected on the prices of the products/services of the businesses acting in the market. This is because high or intense competition lower prices which reduces product/service margins and thus reduce the profit an organisation makes. Margin is the difference between production cost and sales price.

Competition is felt in the market when competition exhibit the following characteristics:

- there are numerous companies of similar size in the market
- companies have similar strategies
- the business sector shows little growth, and therefore, an increase in sales is only possible if business is taken away from a competitor
- products or services offered in the market are undifferentiated and therefore, all companies compete on price.

3. New market entrants

In some market segments, when a new business enters a market, the existing markets tend to perceive this as threat. This does not only increase competitive pressure on existing business but it might force them to adjust to accommodate new entrants. To secure their market share, control price levels and protect their customer base, existing business may use one or several threat barriers to stop or control the entrants of new businesses in their market segment. Potential market entry barriers include:

- economies of scale: an organisation needs to be of a certain size in order to be more efficient

- high initial cost or high fixed costs
- brand-loyal customers
- scarce resources e.g qualified human resources
- controlled resources by existing organisations
- high switching cost
- patents and licenses which protect the intellectual property of organisations

4. Substitutes

When the product/service of a company can be substituted by a cheaper or effective product/service, then the company will loose in sales revenue which can reduce their profit. The product/service of a company can be threatened by a substitute product depending on:

- the degree of customer loyalty of the company
- the intensity of customer relationship
- the switching cost

5. Suppliers

These are all the supply sources that an organisation require to produce its intended product/service. Suppliers provide inputs which could be in form of material, technology, human resource etc. The inputs are then used by the company to produce their product/service. Suppliers with stronger bargaining power can increase the prices of their supplies. By doing so, the margin between production cost and sales price of the dependent will reduce, which can significantly reduce their profit. Powerful suppliers exhibit the following characteristics:

- the market is dominated by few large suppliers
- the input to be supplied is highly specialised or rare
- the company that buys from the supplier is small and insignificant to the supplier
- the suppliers cannot be substituted
- the company that buys from the supplier has a high switching cost
- a forward integration is feasible for the supplier i.e the supplier could buy the company to whom it supplies. Findout what forward-integration mean.

Use the Lars Bank case study to answer the questions by applying porter's five forces.

Analysis, Strategic Capabilities, and the Five Forces Model

In a business context, porter's five forces can be used to analyse 3 areas of a strategic plan. These areas are:

1. *Analysis of the market attractiveness (static)*

Porter's five forces can be used to assess the market attractiveness of a company. This is relevant for a business to decide whether to enter, exit or remain in a market segment. For a company to determine its market position, it needs to evaluate its resources and competences, as well as the position of its competitors in the market. This is relevant for making strategic decisions. To achieve this, porter's five forces can be used to measure the influence of the forces on the company and on its competitors.

2. *Analysis of the development of the market attractiveness (dynamic)*

Porter's five forces can be used in alongside the PESTEL analysis to perform a trend analysis of the business to forecast its future attractiveness. Trend analysis shows both the development of the business and its changes

overtime. The PESTEL analysis can influence one or more of the five forces. This influence can give more weight or importance to some forces than the others, depending on the situation.

3. Analysis of the strategic possibilities

Analysis of the intensity of the forces on the organisation will provide insights on the opportunities that a company should consider exploring or use to their advantage. In some cases, the company might have to make strategic decisions for reorientation or repositioning in the market. Reorientation may include changing product/service line, creating partnerships etc.

What are the strategic options for an Organisation

Besides taking the environmental situation into consideration when crafting a strategy, other factors to consider include *internal resources, capabilities and goals* of the organisation. This is vital as it can help in controlling the influence of the five forces on the organisation. The following strategies are options an organisation can choose:

1. Reducing the power of the suppliers

- A company can form partnerships with other organisation who rely on same supplier. This reduces the bargaining power of the supplier as together they can purchase at lower prices.
- The company and supplier can integrate their systems to facilitate the process of ordering/supplying. However, this increases the switching cost for the company.
- A company can use other sources to inform themselves on the mode of functioning of the supplier. This can assist them during price negotiations.
- A company can attempt to purchase the supply via a process known as backward integration. For instance, a company producing leather shoes could buy its supply who supplies the leather material.

2. Reducing the power of buyers

- Companies could form partnerships to fix prices of their products/services. Fix prices reduces the chances of buyers to do price comparison and thus reduce their bargaining power.
- A company can provide products/services that makes it difficult for buyers to switch to competitors. E.g A user subscribed to an ehealth app where they post their medical records will find it difficult to move to another for fear of fragmenting or losing their medical history.
- In a monopoly, a company can control the units of products to be made available for purchase. Through this, customers or consumers will focus on getting the product rather than bargaining for price reduction.
- A company can provide complementary products which must only be purchased from them. For instance, apple store can only be used by iphone users.

3. Reducing the threat of new market entrants

- Companies can form partnership to increase prices of products/services. For instance, companies can team to increase pay more to their suppliers so the supplier will find new companies who can't afford to pay high prices less interesting.
- In a monopoly, a single company controls the market. This gives them the power to determine the conditions for entering in the market. In most cases, the conditions are not favourable for new businesses. For instance, the company might increase prices of products in a way that the market will not be lucrative for new businesses who are not yet financially stable.

- Existing companies could streamline their production processes or purchase technologies that will make them more efficient. This reduces costs of production, thus making placing them in a position that they could sale at much more lower prices than new companies.
- Setting Standards like compliance or licenses that are costly to acquire by new and small companies.

4. *Reducing the threat from substitutes*

- Providing unique products to increase switching cost e.g ehealth application
- Providing complementary products e.g Malware and antivirus for computers
- providing a different product that separates the company from others e.g iphone
- An organisation can also provide the alternative e.g A company producing Air Conditioners (AC) can decide to produce Standing fans.

5. *Reducing the pressure from existing competitors*

- A company should avoid in engaging in price competition
- Avoid being in the same location or very close to the company's competitor. This will enable each company to provide its goods and services in a location that is frequent by its competitor.
- Avoid head-on competition with competitors i.e provide products that serve the same purpose but make it unique or different from others e.g iphone
- Purchase the competitor
- Focus on specific market segments (niche market) to avoid head-on competition
- communicate with competitors to establish a better relationship to avoid fierce competition.

Critical Issues

Porter's forces was created when companies where establishing themselves in the market. The priority for companies was to gain market shares to guarantee their existence and profitability. Competition and sustainability was at the center of it all. However, in today's world, the market has become much more dynamic, less stable and changes can be predicted with a certain level of accuracy. The main reasons why Porter's five forces is limited in applicability in today's world lies in the following:

- The model is suitable for stable and static market structure. Brick-and-Mortar are examples of static markets. People always need to go to the exact location to get their products. However, technological advancements has changed the market space drastically. Now it is possible to shop on the internet at the comfort of your homes. This was not envisioned in the five forces.
- The model is best used to analyse simple-structured markets. E.g Analysing a bakery is easier than analysing a logistic firm because a logistics firm has too much complexity.
- The model is built for classic free markets i.e it is suitable for markets with less regulations. E.g someone who does woodworks for sell has less regulations than someone who produces medical equipments.

Unit 3: The Position in the Market

The aim of this topic revolves around *vision, mission, goals and values of the company* and how to perform a *SWOT* analysis. In an organisation, the executive or founders or corporate level are responsible for formulating the mission and vision of the company as well as defining its values. The mission expresses what the company stands for and it usually reflects the values of the company. The vision expresses how the company views itself and sets the future direction of the organisation. The vision should be understood as the *corporate identity* of

the company. The company expects its employees align with the vision. This should be reflected in their behaviours and motivations.

1. **Mission**

This is the heart of the strategy and explains why the company exist and also provides clarity of its purpose to its stakeholders. Stakeholders include: employees, suppliers, distributors, customers, shareholders etc. The mission answers questions like the following:

- Why do we exist?
- What is our purpose?
- Why are we different from others?
- What do we want to achieve?
- How do we achieve it?

Considering the mission statement of the case study "The mission of the Bar School is to inspire and empower students to become balanced, responsible, and global-minded members of society. This is accomplished by offering a high-quality, internationally accepted education". The first part answers the W's while the second part answers the How.

2. **vision**

This defines the identity of the company and provide information of the long-term perspectives(where the organisation wants to be in the future) of the organisation. The questions that should be answered here are:

- What do we want to accomplish in the future?
- Where do we see our organisation in 5, 10, 15 or even 20 years.

Foe example "We want to provide data-driven healthcare services. In the next 5 years we want to convert X % of the adult population into using our ehealth record services". The first part answers the What while the second part answers the Where.

3. **Values**

Values are fix and form the basis for every strategy that the company creates. Values define the guidelines and principles that the organisation upholds when doing business. In a values statement, the values must be clearly communicated. Considering the case study, the values of the Bar School are:

- Every person is of value and has unique potential
- Good conduct, teamwork, cooperation, and respect are important factors for success, and that education is a partnership between students, parents and teachers.

4. **Goals**

It is not mandatory to have a mission, vision or a value statement. However, goals are the reasons why a business is created. In an organisation, goals are specific to each layer or department, as illustrated on the following image.

--insert goal hierarchies here--

Group level

At the group level, the strategic or corporate goals are defined. When defining corporate goals, the upper management should be specific regarding what *should* be attained. The following points can be used for guidance:

- Market position goal i.e, market share, sales volume, developing new markets
- profit goals i.e profit margin, return on sales
- financial goals i.e level of liquidity, credit-worthiness
- social goals i.e employee satisfaction, employment security
- goals relating to power and prestige i.e image building, changing dependency on other organisations.

Strategic Business Unit (SBU)

After formulating corporate goals, they are translated into functional or SBU goals. Both functional and SBU goals are coordinated and implemented at the departmental level within the SBU or the company. Since SBUs contribute to the overall profits or losses of an organisation, each SBU receives goals that are specific to their responsibilities. A functional goal for a company could be to improve job security for employees. Functional goals are related to human resource, finance and production.

Product Level

The major activities that occur at this level are related to marketing. Considering the marketing mix, goals will be related to product, price, promotion, communication depending on the location.

What is Our Position in the Market

Companies use a positioning map to compare themselves with competitors based on a target group or audience. This map is made up of two axes that map the specific attributes/metrics used for comparison. Depending on the measured values of the metrics or perception of the attributes by the audience, the company places itself and the competitors at specific points on the map. Some metrics that can be measured include: price, quality, customer satisfaction and company image. To maintain a strong position in the market, companies need to achieve high values for the attributes used for comparison. Companies should avoid changing the core market that gives them a strong position in the market. Xerox had a strong market position for selling copying machines until they decided to make huge financial investments to sell personal computers. To develop an effective positioning strategy, the organisation should perform a SWOT analysis, and also use quantitative and qualitative methods to monitor and assess market changes like trends. The following is an example image of a positioning map for *Palace Hotel*.

--insert image here--

What Information Does the Company Need?

For strategic positioning, companies need results of Analysis performed on recorded data and market segmentation.

1. Quantitative Market and Customer Analysis

To perform this thoroughly, companies need to record quantitative data. This kind of data is usually available either internally or can be acquired from external sources. Internal sources include departments generating data like customer data, sales information, distributors etc while external sources include umbrella organisations like the government, industry experts, annual reports of competitors etc. Some KPIs that can be

used for market analysis are *population growth, market volume(monetarily, size), market potential(max size of the market), market growth, average return on sales etc.

2. Market Segmentation

An organisation can divide its market into segments where each segment consist of customer that have similar needs and preferences. B2C and B2B are two major market segments that can be described based on the following criteria.

--insert market segment here--

What Capabilities Does the Company Have?

The SWOT Analysis is a method wided used by companies to assess their capabilites and resources. SWOT is an acronym for *Strength, Weakness, Opportunity and Threat*. This means that the SWOT Analysis strive to achieve an internal thorough analysis of a company's strengths, weaknesses, opportunities and threats. This analysis considers three categories of resources which are:

- Physical resources: Machines, equipment, buildings, raw materials, patents, computers etc constitute physical resources that determine the efficiency, productivity and flexibility of an organisation.
- Fiancial resources: Balance sheet and *cash flow(liquidity in a time period)* enable organisations to determine their financial viability which is necessary to sustain the company.
- Human resources: This constitute employees, managers and partners. Organisations require this to determine whether they have the right people and the kind of training they need to offer or take to motivate their employees.

The Analysis of all the SWOT factors enable the organisation to understand their capabilities which is useful in determing the strategic possibilities that an organisation has and also helps them to answer the question whether the strategic possibilities align with the identity or goal. The SWOT analysis can also be used to assess the strength and weaknesses of other organisations relative to the organisation. The opportunities an threats of the SWOT analysis focuses on the market trends. As a result, this part of the analysis can be supported by the PESTEL analysis and Porter's Five forces.

--Use SWOT to analyse nwa medicals--

In addition to the SWOT analysis, it is recommended for companies to use their core competencies to achieve competitive advantage. A core competency is a unique capability or resource that an organisation has that differentiates it from other organisations. These gives the company competitive advantage as they can:

- Increase the value of the product or service to the customer
- differentiate themselves from competitors, and
- can be expand in the future.

What Capabilities Do Others Have?

Benchmarking

This is comparison that leads to the selection of the **best choice as a point of reference** for bearing or orientation. Several criteria are usually used for comparison. Benchmarks can be used by companies for self

evaluation, identify superior methods & best practices used by other firms, and to optimise internal processes. The four main types of Benchmarking are:

- Internal benchmarking
- Competitive benchmarking
- Functional benchmarking
- Generic benchmarking

1. Internal benchmarking

Considering a company composed of different businesses(e.g telecommunication and medical) with each business having running different departments built on similar processes, this benchmarking approach can be used to compare the businesses with each other as well as comparing departments within a business with each other. The major advantage of this type of benchmarking is that the data/figures/numbers are readily available. However, using internal data may not be accepted by managers as the numbers might not be perceived as the standard. Moreover, managers could perceive this as open criticism to their management practices. Comparing businesses within a corporation with company wide KPIs might not be coherent as there could be business specific KPIs that should be used to assess their capabilities and performance.

2. Competitive benchmarking

Considering two companies operating in the same industry, and servicing the same or similar market. These companies are set to be benchmarking partners although they are competitors in the market. What happens in competitive benchmarking is that important metrics known to the competitors are compared. A challenge here is that, one company might have metrics that are not known to the competitor. Thus limiting comparison. However, the metrics that are used in both companies are used for comparison. Imagine that these two companies are car manufacturers. Then one company could produce a new model of a car and provide this to the other company having a similar model for comparison. Components that could be compared here include: technical development, features, handling etc. This kind of comparison is intense and requires enough preparation. Additionally, it requires an open communication between the two companies to ensure the effectiveness of the process, otherwise it becomes more difficult to compare metrics and processes of the competitors. Despite the fact that the information achieved via competitive benchmarking can not be used as the standard to foster innovation and development, it does give the competitors clue about their position in the market.

3. Functional benchmarking

In this type of benchmarking, companies compare their organisational functions. For instance, a company A may compare the functions and processes of its logistic department with the logistic department of an online store. This type of benchmarking creates room for learning and innovation, and provide organisations with novel ideas and suggestions.

4. Generic benchmarking or best practice benchmarking

This kind of benchmarking does not build on organisational functions, nor companies in the same line of business or industry. An analysis conducted by Southwest Airlines by comparing the turnaround time of their airplanes with the pit stops of cars at Formula one, Southwest Airlines significantly reduced the turnaround time of their planes by 50%. Basically, an analysis of the *value chain* is the foundation for developing best practice benchmarking because it focuses on maximizing the steps in the value chain that creates value for the organisation and minimise activities that cause waste of resources.

Standard process for benchmarking

The following four phases is recommended to be adopted in a benchmarking project.

1. Goal-Setting/preparation phase

- definition of the problem and internal analysis
- selecting the benchmarking partners and appointing the benchmarking team

2. Comparison phase (quantitative benchmarking)

- definition of the figures and numbers, and indicators to be investigated
- data generation
- data analysis
- ranking
- selection of 'best performers'

3. Analysis phase (qualitative benchmarking)

- analysis of the best processes and strategies
- deduction of the 'best practices'

4. Improvement and implementation phase

- definition of the improvement measures
- implementation of the improvement measures
- controlling progress and results

In such a project, it is important to identify the activities of the companies that concern the customer in order to select the most relevant competitors and benchmarking partners. Additionally, it is advisable to avoid poor performing competitors when developing benchmarks.

Unit 4: WHAT STRATEGIC OPTIONS ARE AVAILABLE TO THE STRATEGIC BUSINESS UNIT (SBU)?

What Strategic Options Does the SBU Have?

First of all a SBU is a division or component of a component that provides specific products and services to a specific business or market. Typically, SBUs have similar customers, competitors and strategic capabilities. SBUs are often seen in large corporations than in small companies or startups. An example of a SBU is a *medical division* of a large corporation that serves hospitals. Because SBUs are experts in their market and understand their customers better, they are allowed to independently make decisions regarding their product/service portfolio as well as the strategy they want to follow in their market. The strategy followed by a SBU can be *generic or interactive*. By generic, it means, the SBU employs a strategy that is regularly used by other organisation while in an interactive strategy, the SBU flexibly responses to the changes in the market to influence the market itself. The decisions and strategy they choose to follow should enable them meet up to the corporate goals. *Sales and Profit* are the metrics used to evaluate the performance of the SBU.

Generic Strategies

According to Porter (1996), *generic strategy* describes those strategies often used by organisations. It constitutes strategic goals set aside by organisation for themselves and strategic advantage being pursued by the organisation to achieve its goals. Remember that Porter's definition of strategy is tilted towards competitive advantage. From Porter's point of observation, there are 3 categories of generic strategies.

1. Cost leadership (being cheaper)

In this kind of strategy, the company strongly minimizes production cost in order to sell at the lowest price. This can be achieved by

- low purchasing costs: achieved by acquiring purchasing power over the supplier
- economies of scale: The more they produce the better they get at it. Being efficient!
- experience: Using experience gained in the market to adequately respond to market fluctuations.

CASE STUDY: ALDI

A notable example of a company successfully employing a cost/price leadership strategy is the retailer ALDI. ALDI operates based on several key principles, with the primary goal of ensuring consistently low prices for its customers. To reduce purchasing costs, the company has a centralized international purchasing department, negotiates minimal transportation costs, and limits the variety of products available in its stores. Additional savings are achieved through the simple, no-frills design of their stores and by situating them on the outskirts of cities and towns where rent is cheaper. ALDI also places great emphasis on optimizing and streamlining its internal processes. The company does not have a controlling or staff unit and, instead of relying on forecasts, it operates based on realtime data to run its business efficiently

2. Differentiation (being different)

The differentiate itself from others, organisation need to provide unique products or services. The product or service must be so valuable to the customer that they will still be willing to subscribe or purchase even at very high prices. Example of the brand *Apple*. The advantage of this is that it gives an organisation a strong market position, increases its profit margins due to higher prices and also increases switching cost for the customer. The major disadvantage is that developing a unique product/service is associated to high investment. Another disadvantage is the risk that other companies might produce a similar product and create competition.

CASE STUDY: SOUTHWEST AIRLINES

Southwest Airlines is one of the most successful carriers in the United States, known for its strong focus on customer service and punctuality. Despite offering only one seating class, not allowing seat reservations, and serving just snacks during flights, the airline's service remains popular among passengers. This is largely due to the extensive customer service training provided to Southwest employees, ensuring they maintain a friendly and positive attitude. The airline's exceptional punctuality is a result of a company-wide initiative that significantly reduced airplane turnaround times. This approach has led to financial success for Southwest, allowing it to carve out a distinctive position

in the highly competitive U.S. airline industry, setting itself apart from its rivals.

3. The focus strategy (being better)

With this strategy, a company focuses on a small market segment or niche, and provide high quality products/services that satisfy the needs/desires of this customer group. The advantage is that, the company maintains a small and stable customer bases and have no competition, as well as benefit from high profit margins as they charge high prices for the high quality of products/services they offer. We saw this in the case of Bhutan charging tourists (value culture and care for environment) a daily \$200-300 for a complete package with high quality service. The disadvantage of this strategy is that growth is limited and changes in market impacts sales.

Generic strategies can also be combined. For instance, Bhutan sets itself apart from other tourist destinations as it offers superior service and focuses on a very specific market segment. This is applicable to SBUs as they could employ combined generic strategies depending on their cost structure and the market they serve.

Interactive Strategies

In this strategy, a company reacts to the strategies employed by its competitors in a highly competitive and volatile market where *price and quality* are the major drivers of competition. If a company, reduces the price of a specific product, the competitors will immediately do the same. This also applies to quality i.e if a company integrates a new feature on its product, the competitors will also do the same to stay competitive in the market. There are different types of *interactive strategies*:

1. Hypercompetition

This term describes a business or market environment characterised by fierce competition. In this kind of business environment, competitive advantage is created and destroyed at a fast pace. Due to this strong dynamics, competitors cannot defend their position in the market for long. As a result, price and quality are the basis for comparison. To achieve success in this kind of market situation, organisations have to be flexible, react fast, and be prepared to take risks. Even well established companies may fail in this kind of market situation if they stick to their old strategies rather than adopting to strategies that are forward looking. A prime example of a hypercompetitive market is the consumer electronics market. The following excerpt describes the battle between the two giants, Samsung and Apple.

BATTLE OF THE TECH GIANTS

Mobile platforms are rapidly gaining dominance across smartphones and tablets. By the fourth quarter of 2010, global shipments of smartphones and tablets surpassed those of desktops and PCs. In 2011, an estimated 480 million smartphones and tablets were shipped, compared to around 380 million desktops and PCs. As the trend towards mobile technology intensifies, major players in the industry are competing fiercely to expand their market share. One notable development is the U.S. ban on the Samsung Galaxy Nexus, which negatively impacts consumers by limiting competition and stifling innovation. The ongoing patent disputes between Apple and Samsung have escalated to an extreme level. For Apple, this battle is crucial for both its survival and profitability. Samsung has the capability to offer high-quality alternatives to Apple's iPad, often at a wider range of prices, something Apple has not yet fully achieved. Samsung's success is evident in the strong sales of its Galaxy SII smartphone and Galaxy tablets, and this trend is likely to continue unless government or regulatory intervention occurs, as seen in

a recent verdict against Samsung. This situation raises concerns about the validity of patents that seem overly generic, an issue that extends beyond Apple to all manufacturers. Resolving these patent conflicts is unlikely to happen anytime soon. (Note: In 2024, global shipments of smartphones is around 1.23 billion units.)
Source: Frost & Sullivan (2012).

2. Strategic Alliances

A strategic alliance is the formation of partnership between companies based on their competencies. Such alliances aim at reducing the number of competitors in a hypercompetitive business environment. However, the primary goal of a strategic alliance, is for companies to combine their strengths and develop competitive advantage especially in an existing or new market. To build a successful strategic alliance, an analysis of the following is required:

- The fundamental fit of the organisation
- The strategic fit i.e the strategies and goals of the companies involved are similar or identical
- The cultural fit i.e the corporate cultures of the two organisations can be united without much friction.

CASE STUDY: STAR ALLIANCE

In 1997, the world's first global airline network was launched under the name Star Alliance. At the time, foreign airlines were restricted from operating domestic flights within individual countries due to national regulations. Star Alliance provided a solution by allowing passengers to book connecting flights in other countries via local carriers. As the alliance expanded, both the network and its passengers benefited from the increased connectivity. Today, this horizontal alliance has grown to become the largest airline network globally.

Horizontal alliance Horizontal strategic partnerships are alliances between companies at the same economic stage!.

Product Life Cycle

Before making decisions related to the product such as pricing, product portfolio, markets, technology, capacity, and marketing and promotional measures, the company should analyse the product with the **Product Life Cycle(PLC)** model. According to this model, the lifecycle of a product is similar to that of human being i.e it starts with *development then goes through growth and maturity, and ends with decline*. The following image visualises the product life cycle. It is important to note that each phase has opportunities and threats, and that few products follow the exact product life cycle. This model is largely used for forecasting sales and formulating strategies.

--insert plc image here--

1. Development Phase

The product is born and enters the market in this phase. It is characterised by long development time and low growth rates. This is because a large portion of the investment flows into marketing and distribution which eats up the profit that is being generated in this phase. It is in this phase that the company requires a well-defined marketing plan that takes into consideration all the parts of the marketing mix (product, price, place (distribution) and promotion) to successfully put the product in the

market. Typically, there are few or no competitors in the market at this phase especially when the product is new.

2. Growth Phase

In this phase the product starts generating sales as the product or service grows, and the number of competitors increases due to new market entries especially when the product or service is new. As production and sales increases, the cost of production reduces and the company benefits from both economies of scale and high profits. To extend the period of growth and benefit from promising profits, the company needs to increase its marketing and promotional expenditures.

3. Maturity Phase

At the phase the product/service is established and accepted in the market. The climax of profitability is reached when the growth curve flattens. This is also the phase where hypercompetition comes into play as competitors will also want to maximise profits and stay in the market. Through new marketing initiatives or introduction of new features, companies strive to increase this period to maximise profits. Sometimes this requires product relaunch especially when new features are integrated. The relaunch helps to improve the slow growth in this phase. Another way to extend this grace period is by exploring new markets or market segments.

4. Decline Phase

In this phase the company experiences sales decline as the product becomes outdated or less interesting to the customers. Companies are advised to monitor and control sales, costs, and profit margins in order to create room for making strategic product decisions. Alternatively, the company can retire the product/service or cut down the cost of production to increase the profit margin while the product/service stays in the market. A possible advantage of this strategy is that rivals might drop off the market after some time and the company stays in the market with its product to serve a small segment of loyal buyers. Another strategy is to introduce a new product that succeeds the old one once it is taken off the market.

UNIT 5: WHAT STRATEGIC OPTIONS ARE AVAILABLE TO THE CORPORATION?

Areas to Consider When Formulating a Strategy

Strategic planning is a very vital activity of an organisation as it decides whether the organisation or SBU will be successful in the future or not. It is usually a daunting task for an organisation to explore several options or scenarios during this process before choosing the strategy to adopt. However, this strategic planning does not guarantee that the chosen strategic is the ideal decision. Some factors influencing strategic decisions in an organisation include: history of the organisation, culture and management. The management is responsible for choosing the strategic path to adopt. For more details see *Levitt 1990*. In the strategic planning process, there are several areas of the company that must be examined. These include:

Customer-Oriented Strategies